



Kenya Commercial Bank Limited
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Monday, November 10, 2014

The Chief Executive/Secretary
Nairobi Securities Exchange
The Exchange
55 Westlands Road
NAIROBI

Dear Sir,

**RE: KENYA COMMERCIAL BANK LIMITED
GROUP FINANCIAL RESULTS FOR THE
THIRD QUARTER ENDED SEPTEMBER 30, 2014**

I am pleased to enclose herewith a copy of the Press Release on the Financial Results for the third quarter ended September 30, 2014 for the information and records of the Nairobi Securities Exchange.

Yours faithfully,


JOSEPH KANIA
COMPANY SECRETARY

c. Authority Secretary
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road, Upper Hill
P.O. Box 74800-00200
NAIROBI

Encl*

I STATEMENT OF FINANCIAL POSITION	BANK				GROUP CONSOLIDATED			
	30-Sep-13	31-Dec-13	31-Mar-14	30-Jun-14	30-Sep-14	31-Dec-13	31-Mar-14	30-Jun-14
	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000
A ASSETS								
1 Cash (both Local & Foreign)	6,958,145	8,649,573	7,998,013	6,138,382	15,759,310	16,025,722	14,227,426	19,163,749
2 Balances due from Central Bank of Kenya	9,910,909	8,173,873	11,097,457	11,259,020	9,910,909	11,097,457	11,259,020	7,287,720
3 Kenya Government and other securities held for dealing purposes	6,954,463	6,241,984	324,890	15,580	6,954,463	324,890	15,580	16,960
4 Financial Assets at fair value through profit and loss								
5 Investment securities: a) Held to Maturity: a. Kenya Government securities	42,725,514	28,504,194	42,573,109	35,386,093	28,504,194	42,573,109	35,386,093	33,675,820
b. Other securities								
6 Deposits and balances due from local banking institutions	15,777,025	35,847,320	44,276,899	41,925,495	20,344,670	19,247,326	16,002,335	21,187,670
7 Deposits and balances due from local banking institutions	2,082,898	2,057,948	1,991,348	2,007,988	15,777,025	44,276,899	41,925,495	40,268,922
8 Tax recoverable	5,650,000	56,742	0	12,027,608	2,082,898	2,057,948	2,007,988	1,951,568
9 Loans and advances to customers (net)	2,735,583	5,166,173	3,978,497	6,811,035	5,650,000	1,059,638	12,027,608	1,575,228
10 Balances due from group companies	1,158,836	679,218	679,218	127,990	18,981,370	740,020	19,652,813	39,493,766
11 Investments in associates	195,568,503	198,370,069	204,646,324	213,663,852	1,169,275	225,688,646	188,428	180,884
12 Investments in subsidiary companies				369,257	722,274	233,783,558	244,014,013	264,296,019
13 Investments in joint ventures	125	125	125	10,467,258	227,721,781	-	-	-
14 Investment properties	9,777,226	9,827,392	10,727,392	10,467,258	-	-	-	-
15 Property and equipment					-	-	-	-
16 Prepaid lease rentals	5,467,343	5,363,433	5,380,986	5,245,801	8,484,836	-	8,314,912	8,421,314
17 Intangible assets	142,102	139,496	138,872	1,172,800	141,642	301,633	293,009	285,424
18 Deferred tax asset	1,334,265	1,024,540	1,221,526	1,172,800	1,403,180	1,306,750	1,280,667	1,242,031
19 Retirement benefit asset	1,762,185	2,027,503	2,027,503	2,027,503	2,445,334	2,364,040	2,437,907	2,461,905
20 Other assets	5,717,631	1,837,000	1,837,000	1,837,000	1,837,000	1,837,000	1,837,000	1,837,000
21 TOTAL ASSETS	313,413,029	322,684,854	344,881,270	357,832,852	390,851,579	411,428,836	439,700,995	451,566,409
B LIABILITIES								
22 Balances due to Central Bank of Kenya								
23 Customer deposits	228,782,134	237,212,782	246,590,369	276,460,447	305,659,189	313,509,755	351,602,752	350,104,094
24 Deposits and balances due to local banking institutions	8,120,153	5,516,617	3,331,693	698,506	8,120,153	3,331,693	698,506	2,412,838
25 Deposits and balances due to foreign banking institutions	1,959,014		6,965,579	1,415,956	6,650,977	8,362,073	2,940,309	6,906,118
26 Other money market deposits								
27 Borrowed funds								
28 Balances due to group companies	7,850,000	7,073,182	9,661,091	12,502,909	7,719,647	10,279,762	13,116,753	13,158,705
29 Tax payable	5,164,041	5,966,928	6,648,892	-	179,377	118,300	472,560	537,826
30 Dividends payable								
31 Deferred tax liability								
32 Retirement benefit liability								
33 Other liabilities								
34 TOTAL LIABILITIES	4,664,242	5,152,306	6,087,035	4,025,685	7,287,423	9,050,090	6,015,582	7,468,695
C SHAREHOLDERS' FUNDS	256,539,583	260,921,815	279,284,658	295,103,503	327,496,613	344,651,673	374,846,462	380,588,276
35 Paid up /Assigned capital	2,984,228	2,984,228	2,984,228	2,984,228	2,984,228	2,984,228	2,984,228	3,025,213
36 Share premium/(discount)	19,330,561	19,330,200	19,330,200	19,330,200	19,330,200	19,330,200	19,330,200	20,135,561
37 Revaluation reserves	(319,008)	(163,398)	410,347	(485,604)	(848,746)	(163,398)	(320,150)	336,718
38 Retained earnings/ Accumulated losses	31,219,809	28,959,018	32,218,846	35,250,279	29,399,826	32,248,278	36,058,889	41,882,641
39 Statutory loan loss reserve	3,757,856	3,220,136	3,220,136	4,185,847	4,371,255	4,371,255	5,336,966	4,133,600
40 Other Reserves	-	1,464,400	1,464,400	1,464,400	1,464,400	1,464,400	1,464,400	1,464,400
41 Proposed dividends	-	5,968,455	5,968,455	-	5,968,455	5,968,455	-	-
42 Capital grants	-	-	-	-	-	-	-	-
43 TOTAL SHAREHOLDERS' FUNDS	56,873,446	61,763,039	65,596,612	62,729,349	63,354,966	66,777,163	64,854,533	70,978,133
44 Minority Interest	-	-	-	-	-	-	-	-
45 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	313,413,029	322,684,854	344,881,271	357,832,852	390,851,579	411,428,836	439,700,995	451,566,409

II STATEMENT OF COMPREHENSIVE INCOME

STATEMENT OF COMPREHENSIVE INCOME									
	BANK			GROUP CONSOLIDATED					
	30-Sep-13	31-Dec-13	31-Mar-14	30-Jun-14	30-Sep-14	30-Sep-13	31-Dec-13	31-Mar-14	30-Jun-14
	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000
1 INTEREST INCOME	Un-Audited	Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited
1.1 Loans and advances	20,834,301	28,311,468	7,237,122	14,889,931	22,977,471	23,855,562	32,457,329	8,253,539	17,007,624
1.2 Government securities	5,558,544	7,355,172	2,211,471	4,545,060	6,705,664	6,261,018	8,327,336	2,488,107	5,101,468
1.3 Deposits and placements with banking institutions	340,801	360,946	33,060	200,620	249,508	507,412	572,654	75,526	300,203
1.4 Other interest income	-	61,488	-	-	-	-	256,080	-	-
1.5 Total interest income	26,733,645	36,089,074	9,481,653	19,635,611	29,932,643	30,623,992	41,613,399	10,817,172	22,409,295
2 INTEREST EXPENSE									
2.1 Customer deposits	4,733,253	6,447,163	1,979,260	4,179,914	6,644,691	5,815,165	7,871,928	2,279,904	4,961,263
2.2 Deposits and placements from banking institutions	476,779	641,320	125,700	255,744	452,589	535,195	757,185	216,138	314,245
2.3 Other interest expenses	-	-	-	-	-	-	-	-	-
2.4 Total interest expenses	5,210,032	7,088,483	2,104,960	4,435,657	7,097,280	6,350,360	8,629,113	2,496,042	5,275,508
3 NET INTEREST INCOME/(LOSS)	21,523,613	29,000,591	7,376,693	15,199,954	22,835,363	24,273,632	32,984,286	8,321,130	17,133,787
4 OTHER OPERATING INCOME									
4.1 Fees and commissions on loans and advances	2,334,361	3,845,358	877,200	1,778,842	2,982,019	2,569,369	4,684,093	973,467	2,143,999
4.2 Other fees and commissions	2,891,086	3,336,425	975,714	1,987,603	3,226,996	4,996,529	5,816,744	1,734,488	3,525,229
4.3 Foreign exchange trading income	1,254,997	1,684,575	501,895	1,196,654	1,755,066	2,678,379	3,942,186	1,113,086	2,219,921
4.4 Dividend income	24	12,009	10	82	86	24	12,009	10	82
4.5 Other income	1,989,718	2,418,121	949,746	2,341,235	4,436,421	2,126,773	2,670,946	984,647	2,500,001
4.6 Total non-interest income	8,470,187	11,296,488	3,304,565	7,304,414	12,400,588	12,371,074	17,125,978	4,805,698	10,369,232
5 TOTAL OPERATING INCOME	29,993,800	40,297,079	10,681,258	22,504,368	35,235,951	36,644,706	50,110,264	13,126,828	27,523,019
6 OTHER OPERATING EXPENSES									
6.1 Loan loss provision	1,380,715	1,782,846	813,278	1,326,313	3,240,328	1,971,612	2,905,975	1,109,832	2,209,856
6.2 Staff costs	8,241,146	11,077,167	2,735,371	5,614,043	8,505,302	10,002,222	13,469,900	3,346,537	6,866,393
6.3 Directors' emoluments	96,257	135,794	52,411	80,305	104,403	132,785	197,395	90,776	156,295
6.4 Rental charges	259,288	359,805	104,401	230,930	341,236	880,662	1,146,429	262,005	534,847
6.5 Depreciation charge on property and equipment	955,033	1,270,770	314,468	623,985	847,963	1,421,989	2,098,691	451,951	1,292,601
6.6 Amortisation charges	412,640	563,103	108,896	219,343	412,640	422,860	580,629	124,528	463,961
6.7 Other operating expenses	5,096,087	7,361,403	1,662,111	3,694,647	5,552,430	6,643,663	9,587,486	2,166,589	4,922,073
6.8 Total other operating expenses	16,440,166	22,550,888	5,790,935	11,789,566	19,004,302	21,475,793	29,966,505	7,552,218	15,848,970
7 Profit/(loss) before tax and exceptional items	13,553,634	17,746,191	4,890,323	10,714,802	16,231,649	15,168,913	20,123,759	5,574,610	11,674,049
8 Exceptional items	-	-	-	-	-	-	-	-	-
9 Profit/(loss) after exceptional items	13,553,634	17,746,191	4,890,323	10,714,802	16,231,649	15,168,913	20,123,759	5,574,610	11,674,049
10 Current tax	(3,894,252)	(6,040,598)	(1,467,097)	(3,214,441)	(4,869,495)	(3,831,435)	(6,520,863)	(1,672,383)	(3,502,215)
11 Deferred tax	(171,838)	721,081	-	-	-	(520,841)	738,486	-	16,571
12 Profit/(loss) after tax and exceptional items	9,487,544	12,426,674	3,423,226	7,500,361	11,362,154	10,816,637	14,341,382	3,902,227	8,171,834
13 Minority interest	-	-	-	-	-	-	-	-	-
14 Profit/(loss) after tax and exceptional items and Minority interest	9,487,544	12,426,674	3,423,226	7,500,361	11,362,154	10,816,637	14,341,382	3,902,227	8,171,834
15 Other Comprehensive income:									
15.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-
15.2 Re-measurement of defined benefit pension fund	-	508,900	-	-	-	(35,364)	(736,114)	(480,031)	(143,265)
15.3 Fair value changes in available-for-sale financial assets	(234,193)	(78,581)	573,743	(320,149)	405,726	(234,193)	508,900	-	(320,149)
16 Other comprehensive income for the year net of tax	(234,193)	430,319	573,743	(320,149)	405,726	(269,557)	(93,712)	573,743	(320,149)
17 Total comprehensive income for the year	9,253,351	12,856,993	3,996,969	7,180,212	11,767,880	10,547,080	14,035,587	3,955,939	7,713,469
18 EARNINGS PER SHARE- DILUTED & BASIC KSHS	4.24	4.18	4.59	5.03	5.01	4.83	4.82	5.23	5.48
19 DIVIDEND PER SHARE - DECLARED KSHS	-	2.00	-	-	-	-	2.00	-	-

15.1 Gains/(Losses) from translating the financial statements of foreign operations
15.2 Re-measurement of defined benefit pension fund
15.3 Fair value changes in available-for-sale financial assets
16 Other comprehensive income for the year net of tax
17 Total comprehensive income for the year
18 EARNINGS PER SHARE- DILUTED & BASIC KSHS
19 DIVIDEND PER SHARE - DECLARED KSHS

III OTHER DISCLOSURES		GROUP CONSOLIDATED											
		BANK											
		30-Sep-13	31-Dec-13	31-Mar-14	30-Jun-14	30-Sep-14	30-Sep-13	31-Dec-13	31-Mar-14	30-Jun-14	30-Sep-14	30-Sep-14	30-Sep-14
		Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000	Kshs 000
		Un-Audited	Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited	Un-Audited
1 NON-PERFORMING LOANS AND ADVANCES	a) Gross Non-performing loans and advances	17,240,662	15,199,950	17,894,586	16,235,018	13,375,545	19,662,186	19,227,705	22,456,545	21,720,568	18,490,214		
	b) Less Interest in Suspense	1,870,300	1,679,228	1,781,064	1,941,406	1,960,902	2,058,248	2,200,117	2,283,881	2,636,266	2,734,507		
	c) Total Non-Performing Loans and Advances (a-b)	15,370,362	13,520,722	16,113,522	14,293,612	11,414,643	17,603,938	17,027,588	20,172,664	19,084,302	15,755,706		
	d) Less Loan Loss Provision	7,162,237	6,090,384	6,416,302	7,439,753	6,286,008	8,745,513	6,761,992	7,646,012	9,027,247	8,208,641		
	e) Net Non-Performing Loans and Advances (c-d)	8,208,125	7,430,338	9,697,220	6,853,859	5,128,635	8,858,425	10,265,596	12,526,652	10,057,056	7,547,065		
	f) Discounted Value of Securities	5,744,935	5,376,081	7,380,931	6,355,822	4,034,949	6,395,235	6,801,170	10,847,577	10,306,073	6,672,037		
	g) Net NPLs Exposure (e-f)	2,463,190	2,054,257	2,316,289	498,037	1,093,686	2,463,190	3,464,426	1,679,075	(249,017)	875,029		
2 INSIDER LOANS AND ADVANCES													
a) Directors, Shareholders and Associates		376,735	632,814	899,575	1,816,391	462,680	557,982	780,620	1,092,812	1,964,693	844,249		
b) Employees		7,275,031	7,688,747	8,084,712	8,337,252	8,003,188	8,053,432	8,007,598	8,795,768	9,170,779	9,410,100		
c) Total Insider Loans and Advances and other facilities		7,651,766	8,321,561	8,984,287	10,153,643	9,065,868	8,611,414	8,788,218	9,888,581	11,135,472	10,264,349		
3 OFF-BALANCE SHEET ITEMS													
a) Letters of credit, guarantees, acceptances		102,747,859	106,425,736	114,314,921	123,917,187	70,637,745	104,603,669	108,989,120	118,579,893	131,435,094	74,754,144		
b) Forwards, swaps and options		22,854,949	12,660,294	52,795,995	72,007,408	57,528,983	23,140,020	12,804,686	53,167,058	72,140,142	57,861,251		
c) Other contingent liabilities													
d) Total Contingent Liabilities		125,602,808	119,086,030	167,110,916	195,924,595	128,166,728	127,743,709	121,793,806	171,746,951	203,575,236	132,615,395		
4 CAPITAL STRENGTH													
a) Core capital		39,673,690	50,905,250	51,590,372	46,460,419	50,604,442							
b) Minimum Statutory Capital		1,000,000	1,000,000	1,000,000	1,000,000	1,000,000							
c) Excess (a-b)		38,673,690	49,905,250	50,590,372	45,460,419	49,604,442							
d) Supplementary Capital		11,607,856	10,293,318	10,289,227	14,060,756	12,786,463							
e) Total Capital (a+d)		51,281,546	61,198,568	61,879,599	60,521,175	63,390,905							
f) Total risk weighted assets		263,632,443	272,565,071	286,801,171	292,090,820	316,232,361							
g) Core Capital/Total deposits Liabilities		17.3%	21.5%	20.9%	16.8%	19.2%							
h) Minimum statutory Ratio		11%	10.5%	10.5%	10.5%	10.5%							
i) Excess		6.8%	11.0%	10.4%	6.3%	8.7%							
j) Core Capital / total risk weighted assets		15.0%	18.7%	18.0%	15.9%	16.0%							
k) Minimum Statutory Ratio		11%	10.5%	10.5%	10.5%	10.5%							
l) Excess (j-k)		4.5%	8.2%	7.5%	5.4%	5.5%							
m) Total Capital/total risk weighted assets		19.5%	22.5%	21.6%	20.7%	20.0%							
n) Minimum statutory Ratio		15%	14.5%	14.5%	14.5%	14.5%							
o) Excess (m-n)		5.0%	8.0%	7.1%	6.2%	5.5%							
5 LIQUIDITY													
a) Liquidity Ratio		33.5%	33.3%	38.0%	40.9%	32.8%							
b) Minimum Statutory Ratio		20.0%	20.0%	20.0%	20.0%	20.0%							
c) Excess (a-b)		13.5%	13.3%	18.0%	20.9%	12.8%							

INTERIM DIVIDEND

The Directors do not recommend payment of interim dividend.

MESSAGE FROM THE DIRECTORS

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.kcbbankgroup.com

They may also be accessed at the institutions head office located at Kencom House, Moi avenue

Ngonyi Biwott- Chairman

Joshua Ogara- Chief Executive Officer